

Multiple Choice (10 marks)

1. Consider again the VAR model of equation 16. Which of the following conditions must hold for it to be said that there is bi-directional feedback?
 - (a) The a, b, and c coefficients significant
 - (b) The a and c coefficients significant
 - (c) The a, b, and d coefficients significant
 - (d) The b and d coefficients significant
 - (e) The a, d, and c coefficients significant
2. Unlike a perfectly competitive firm, a monopoly
 - (a) operates in an industry with easy entry and exit
 - (b) will charge the highest price it can on the demand curve
 - (c) will always make a profit in the short run
 - (d) can increase its profit by increasing its output
 - (e) faces a perfectly elastic demand curve
3. A balance of trade surplus can be the result of
 - (a) low levels of income relative to other nations.
 - (b) a decrease in the country's production.
 - (c) foreigners having no taste for this country's products.
 - (d) a loose monetary policy.
 - (e) high levels of income relative to other nations.
4. If corn is produced in a perfectly competitive market and the government placed a price ceiling above equilibrium, which of the following would be true?
 - (a) Corn would become a luxury good due to the price ceiling.
 - (b) The government would have to subsidize corn production.
 - (c) The price of corn would increase dramatically.
 - (d) The price of corn would remain the same but the quality would decrease.
 - (e) The producers of corn would lose revenue due to the decreased price.
5. Monopoly deadweight loss is the result of
 - (a) monopoly output being less than the competitive output.
 - (b) setting the price below average total cost.

- (c) short-run abnormal profits.
- (d) monopoly output being greater than the competitive output.
- (e) long-run abnormal profits.

True / False (10 marks)

Answer True or False

- 6. True or False: In the long run, a monopoly firm operates where price equals marginal revenue and marginal cost, exceeding average total cost.
- 7. True or False: To combat inflation, appropriate fiscal policy involves decreased government spending and increased taxes.
- 8. True or False: Inflation leads to an increase in purchasing power, allowing consumers to buy more goods for the same amount of money.
- 9. True or False: A rightward shift in the aggregate demand curve can lead to a trade-off between inflation and unemployment, as depicted by the Phillips curve.
- 10. True or False: Highly efficient and fast markets exist for stocks and bonds, making them more liquid assets than automobiles.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the role of communal property in the development and functioning of capitalism, analyzing its impact on economic structures and societal outcomes.
- 12. Discuss the impact of a major earthquake on the equilibrium price level and quantity of output in an economy with an upward sloping aggregate supply curve.

End of Paper